Unit 2: Financial Management (Detailed Notes)

1. Meaning and Objectives of Financial Management

A. Meaning of Financial Management (In Very Simple Words)

Imagine you are managing the money for your household. You have a salary (income), you have bills (expenses), and you want to save for a vacation (investment). **Financial Management** is doing exactly this, but for a **Business**.

It is the **art of managing money**.

- It is about **planning** how much money you need.
- It is about **raising** that money from the right place (Bank loan vs. Your own savings).
- It is about **using** that money wisely (Buying machines, paying salaries).
- It is about **controlling** the money so it doesn't get wasted.

The 3 Big Questions Financial Management Answers:

1. **Where to get the money?** (Financing Decision)
2. **Where to spend the money?** (Investment Decision)
3. **What to do with the profit?** (Dividend Decision)

B. Objectives of Financial Management (The Goals)

Why do we need to manage money? There are three main goals:

1. Profit Maximization (Short-Term Goal)

- **Meaning:** Earning as much **surplus** as possible. Revenue minus Cost = High Profit.
- **Simple Logic:** If you sell a pen for ₹10 and it costs you ₹4 to make, you want the gap (₹6 profit) to be as big as possible.
- **Problem:** This goal is **dangerous** if we only look at profit. A company might stop spending on safety or quality just to save costs and show high profit. This is bad for long-term health.

2. Wealth Maximization (Long-Term Goal) - *Most Important*

- **Meaning:** Increasing the **Overall Value** of the business. If the company is listed on the stock market, this means increasing the **Share Price**.
- **Simple Example:** Company A makes ₹10,000 profit but cheats customers. Company B makes ₹8,000 profit but has loyal, happy customers.

    - In Financial Management, **Company B is better** because its future is secure. Its **Wealth** (Brand Value, Goodwill) is higher.
- **Why is this better?** It considers **Time** (money today is worth more than money tomorrow) and **Risk**.

3. Ensuring Liquidity (Survival Goal)

- **Meaning:** Making sure the company always has **Cash in Hand** to pay daily bills.
- **Simple Logic:** Your company might own a building worth ₹1 Crore (you are rich on paper), but if you don't have ₹5,000 to pay the electricity bill tomorrow, the power gets cut and the factory stops. Financial management ensures this **never** happens.
- **Key Term: Solvency** (Ability to pay debts when they are due).

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2. Status and Duties of a Financial Manager

A. Status of a Finance Manager

- **Position in the Company:** The Finance Manager is a **Top Boss**. They report directly to the Managing Director or CEO. They are often called the **CFO (Chief Financial Officer)** .
- **Why High Status?** Because **Money is the Lifeblood** of business. No project moves forward without the Finance Manager's approval on the budget. They are the **Guardian of the Company's Wealth**.

B. Duties of a Finance Manager (What do they actually do all day?)

1. Forecasting and Planning

- **Duty:** Predicting the future money needs.
- **Easy Example:** "Next month is Diwali season. We need to buy extra raw material to make more sweets. I estimate we will need ₹50 Lakhs extra cash for 30 days. Let me arrange it now."

2. Raising Funds (Financing Decision)

- **Duty:** Deciding the perfect **Mix** of **Loan (Debt)** and **Own Money (Equity)** .
- **Simple Choice:**
    - *Option A: Take a Bank Loan.* You have to pay **Interest** every month, whether you make profit or loss. (Risky but keeps ownership).

    - *Option B: Sell Shares.* You don't have to pay fixed interest, but you have to share your **Ownership** and **Future Profit**.
- The Finance Manager finds the balance.

3. Investment of Funds (Capital Budgeting)

- **Duty:** Deciding which project is worth the money.
- **Easy Example:** The Production Manager wants to buy a new machine for ₹20 Lakhs. The Finance Manager calculates: *"Will this machine generate MORE than ₹20 Lakhs in profit over its lifetime? If yes, approved. If no, rejected."*

4. Managing Cash (Working Capital Management)

- **Duty:** Ensuring the company never runs out of cash for daily expenses (Salaries, Rent, Stationery, Diesel for trucks).
- **Daily Action:** "We have a payment of ₹10 Lakhs due to the supplier tomorrow, but we are receiving ₹15 Lakhs from a customer day after tomorrow. Let me take a **Bank Overdraft** for just 1 day to cover the gap."

5. Distributing Profit (Dividend Decision)

- **Duty:** Deciding what to do with the year's profit.
- **Simple Choice:**
    - *Give it to Owners (Dividend):* Makes shareholders happy now.
    - *Keep it in Business (Retained Earnings):* Allows the company to grow without taking new loans. **It's like reinvesting your salary for a bigger business instead of spending it all on a party.**

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3. Capital Structure Decisions

A. What is Capital Structure?

- **Definition:** It is the **Recipe** of how a company's long-term money is made up.
- **Two Main Ingredients:**
    1. **Debt (Loan):** Borrowed money. Fixed cost (Interest).
    2. **Equity (Own Money):** Owner's money. Variable cost (Dividend).
- **Simple Analogy:** Building a house. Do you pay 100% cash (Equity) or do you pay 20% cash and 80% home loan (Debt)? That mix is your **Capital Structure**.

B. Features of an Appropriate (Good) Capital Structure

A good financial structure is like a healthy diet. It must have these 5 features:

1. Profitability (It should make money for owners)

- **Meaning:** The structure should help increase **Earnings Per Share (EPS)** .
- **Easy Trick (Trading on Equity):** If the company can borrow money at **10% interest** and invest it in a project that gives **20% return**, the extra 10% profit belongs to the owners. *This is using Debt wisely to boost Profit.*
- **However:** If the return is only 5% and interest is 10%, owners lose money. So Debt is a **Double-Edged Sword**.

2. Flexibility (It should not be too rigid)

- **Meaning:** The company should be able to change the mix later.
- **Easy Example:** A company that has taken **100% Loans** has **zero flexibility**. No bank will give them more money in an emergency. A company that has less debt has room to borrow more if needed.

3. Solvency (It should not make the company go bankrupt)

- **Meaning:** The fixed cost (Interest on Loan) must be **affordable** even in a bad year.
- **Key Term: Interest Coverage Ratio**. It shows how many times you can pay your interest from your profit. If Profit is ₹100 and Interest is ₹120, you are **insolvent** (you can't pay your bills).

4. Control (Owners should not lose power)

- **Meaning: Debt (Loan)** does **not** give the bank voting rights. **Equity (Shares) does** give voting rights.
- **Simple Logic:** If the founders sell too many new shares to the public to raise money, the public can vote together and **fire** the founder. Therefore, to maintain **Control**, the manager might prefer **Debt** over **Equity**.

5. Tax Consideration (The Government Subsidy)

- **Meaning:** Interest paid on a Loan is a **Business Expense**. It is deducted **BEFORE** calculating Tax. This reduces the Tax Bill.
- **Easy Calculation:**
  - If Profit is ₹100 and Tax is 30%. Tax = ₹30.
  - If you pay ₹20 Interest first, Profit becomes ₹80. Tax = ₹24.

    - **Savings = ₹6.**
- **Conclusion:** Because of this tax saving, **Debt is usually cheaper than Equity**.

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4. Sources of Finance

Where can the company get money? There are two big categories: **Owner's Money** and **Borrowed Money**.

A. Owner's Funds (Equity)

1. Equity Shares

- **Meaning:** Selling a **Piece of Ownership** of the company to the public.
- **Feature:** The shareholder is the **Real Owner**. They get profit (Dividend) **only if** the company makes profit.
- **Simple Word:** *Permanent Money.* It never has to be repaid.

2. Preference Shares

- **Meaning:** A mix of Loan and Share.
- **Feature:** They get a **Fixed Rate of Dividend** (like interest on a loan) before Equity shareholders get anything.
- **Simple Word:** They have **Preference** over Equity shares for payment.

3. Retained Earnings (Ploughing Back of Profits)

- **Meaning:** The **Safest** source. The company just saves its past profits and uses them for growth.
- **Feature: Zero Cost**. No interest, no loss of control, no paperwork.
- **Simple Word:** *Self-Financing.* It is like using your own savings to buy a new phone instead of borrowing from a friend.

B. Borrowed Funds (Debt)

1. Debentures

- **Meaning:** A written document acknowledging a **Long-Term Loan** taken from the public.
- **Feature:** The company **MUST** pay Interest every year, even if the company makes a **Loss**.
- **Simple Word:** *Fixed Burden.*

2. Term Loans (Bank Loan)

- **Meaning:** Money borrowed from a Bank for a specific period (e.g., 5 years to buy a machine).
- **Feature:** Banks keep a **Charge** on the asset (If you don't pay, the bank takes the machine).

3. Public Deposits

- **Meaning:** Company invites the general public to deposit savings with them (like a Fixed Deposit in a Bank, but with the Company).
- **Feature:** High interest rate for the public, but **Risky** because the company is not as safe as a bank.

C. Short-Term Sources (For Working Capital - 1 Year or Less)

1. Trade Credit

- **Meaning:** Buying raw material **Now** and paying the supplier **Later** (after 30, 60, or 90 days).
- **Simple Word:** *Interest-Free Loan* from the supplier.

2. Bank Overdraft

- **Meaning:** An arrangement with the bank to withdraw **more money** than you actually have in your account, up to a fixed **Limit**.
- **Simple Example:** Your account balance is ₹5,000. You have OD limit of ₹50,000. You can issue a cheque for ₹40,000. Interest is charged **ONLY** on the ₹35,000 extra used and **ONLY** for the days you use it.

3. Cash Credit

- **Meaning:** Similar to OD, but usually given against the security of **Stock** (Inventory) or **Debtors**.

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5. Working Capital

A. Meaning of Working Capital (In Very Simple Words)

- **Definition:** Working Capital is the **Money needed to run the Day-to-Day activities** of the business. It is the **Lubricant** that keeps the engine of the business running smoothly.
- **The Cycle (How it works):**

    - Cash -> Buy Raw Material -> Make Product -> Sell Product -> Customer Owes You Money (Debtor) -> Customer Pays -> **Cash Back**.
- **Formula to Remember:**
    - **Gross Working Capital** = Total Current Assets (Cash + Stock + Debtors).
    - **Net Working Capital** = Current Assets **MINUS** Current Liabilities (Creditors).
    - **Important:** If Current Assets are GREATER than Current Liabilities, the company is **Safe**.

B. Factors Affecting Requirements of Working Capital

Why does a Supermarket need more daily cash than a Barber Shop? These 7 factors decide:

1. Nature of Business

- **Trading (Buying and Selling):** Needs **HUGE** Working Capital. You need to keep lots of stock of different brands.
    - *Example:* A Mobile Phone Shop must display 100 models. Huge money stuck in stock.
- **Service (Providing Skill):** Needs **VERY LITTLE** Working Capital. No raw material, just tools.
    - *Example:* A Yoga Teacher or a Tax Consultant. Salary is the only expense.

2. Scale of Operations (Size of Business)

- **Simple Logic:** A Small Kirana Store needs ₹10,000 daily cash. A Big Bazaar Hypermarket needs ₹50,00,000 daily cash. **Bigger Volume = Bigger Working Capital.**

3. Length of Production Cycle

- **Meaning:** The time it takes to convert Raw Material into Finished Goods.
- **Effect:** If making a product takes **6 Months** (e.g., Building a Ship or Manufacturing Heavy Machinery), the money is blocked for 6 months. You need **More** Working Capital to survive until you sell it.
- **Contrast:** A Bakery sells bread made in 2 hours. **Less** Working Capital needed.

4. Seasonal Fluctuations

- **Meaning:** Business booms only in a specific season.
- **Effect:** During **Off-Season**, the company must still produce and stockpile goods. This blocks huge cash.

- **Easy Example: Umbrella Factory.** They produce all year, but sell mostly in Monsoon (June-Sept). In **April and May**, they have huge piles of umbrellas in the godown (Huge Working Capital). In **July**, they sell them and get cash back.

5. Credit Policy (How generous are you?)

- **Liberal Policy:** "Pay me after 3 months." -> Result: You have to pay for raw material today, but you get money from customer after 90 days. **Need MORE Working Capital** to fill this 90-day gap.
- **Strict Policy:** "Cash Only." -> Result: You get money immediately. **Need LESS Working Capital.**

6. Turnover of Inventory (How fast do you sell?)

- **Fast Moving Goods:** Groceries (Milk, Bread). Sold within 1-2 days. Money comes back fast. **Less Working Capital.**
- **Slow Moving Goods:** Diamond Jewellery. Might sit in the shop window for 6 months before someone buys it. **Huge Working Capital** tied up in that one diamond ring.

7. Business Cycle (Economy Condition)

- **Boom Period (Good Times):** Economy is growing. People are buying cars and houses. Factories are running at full speed. **Need MORE Working Capital** to buy extra raw material to meet high demand.
- **Depression Period (Bad Times):** Sales are low. Factories slow down. **Need LESS Working Capital** for operations, **BUT** need **MORE Cash Reserves** just to survive and pay fixed costs like Rent and Interest.